

Vinod Kumar Shukla And Others vs Viraj Construction Pvt. Ltd. on 27 April, 2023

Cause Title/Judgement-Entry

STATE CONSUMER DISPUTES REDRESSAL

Reserved

State Consumer Disputes Redressal Commission

U.P. Lucknow.

Complaint Case No.15 of 2021

Mr. Vinod Kumar Shukla, R/o 2/253, Virat

Khand, Gomti Nagar, Lucknow.

...Complainant.

Versus

1- Viraj Construction Pvt. Ltd., BBD Viraj tower,

Vibhuti Khand, Shaheed Path, Gomti Nagar,

Lucknow-226010 through itsManaging Director.

2- Viraj Construction Pvt. Ltd., 55, Babu Banarasi Das

Nagar (Purana Quila), Lucknow-226001

...Opposite parties.

Present: --

1- Hon'ble Mr. Justice Ashok Kumar, President.

2- Hon'ble Sri Rajendra Singh, Member.

Sri Vishnu Kumar Mishra, Advocate for complainant.

Sri Sachin Garg, Advocate for the opposite parties.

Date: 10.5.2023

JUDGMENT

Per Sri Rajendra Singh, Member- This complaint has been filed by the complainant for following reliefs:

- (i) Refund the money deposited by the complainant against the booking of flat of Rs.52,75,663.00 along with interest @24% from the date of payments by the company to its actual realization by the complainant.
- (ii) The opposite parties may be directed to pay compensation of Rs.10 lacs for the mental agony and financial loss suffered by the complainant.
- (iii) To direct the opposite parties to pay Rs.20 lacs @10.50 because complainant no.1 took loan from the bank and paying interest to till date and also award the rent charges paying by the complaint per month Rs.25,000.00.
- (iv) To direct the opposite parties to pay Rs.10 lacs to the complainant on account of damages due to deficiency in service of the opposite party and also award cost of litigation of Rs.5,00,000.00.

(v) To pass any other order or direction, which this honorable Commission may deem just, fit and proper under the circumstances of the case.

In brief, the complainant has stated that, the Viraj Construction Pvt. Limited, a public limited company incorporated under the Companies Act, 1956 and having its registered office at Vibuti Khand, Lucknow, U.P. started with a project called BBD SUN Breeze Apartment, Faizabad Road in Lucknow.

It is well settled by catena of decisions delivered by the consumer courts and also by the Hon'ble Supreme Court that when the possession of the property is not delivered in the stipulated period, the delay so caused is denial of service and a consumer, who is a victim of such delay is entitled to compensation.

The complainant was looking for their residential purpose a flat and represented by the opposite party that a project being developed by the opposite party in Lucknow BBD SUN BREEZE Apartment, Lucknow, U.P. in the name of SUN BREEZE based on Tropical theme. That the complainant vide application ID no.101030 dated 1.11.2013 applied for allotment for the flat 401 T12 SBA2 at BBD Viraj Constructions as SUB BREEZE Apartment, Lucknow and opposite party were issued a provisional allotment letter with customer ID no.101030 dated 1.11.2013 stating construction and possession of flat within 36 months in BBD SUN BREEZE Apartment project alongwith other charges bearing approx. area of 1775 sq. feet in total sale of consideration Rs.55,91,250.00 of the flat and other charges also included by the opposite party as floor charges, facing charges, LSMD, EEC, Power Backup, Club Membership, Parking Charges, Extra Development Charges and Fire Fighting Charges, so the complainant has deposited total amount Rs.62,89,150.00 till 1.3.2016 in the account of the opposite party but after 36 months the construction has not been completed and illegal demand raised by the opposite party on several time and no fresh demand was raised by the opposite party till December, 2016. It clearly indicates how the construction is going on and in which stage construction is standing today. The demand letters are raised just to extract money from the complainant and it's clearly shows that deficiency and unfair trade practice on the part of the opposite parties. Also opposite party without taking the consent of the complainant change the allotted flat and allotted the lesser area of the flat having 1706 sq. feet area at 9 floor T6SBA1, which is totally unfair trade practice method of the opposite parties and also penalty imposed by the opposite parties against the complainant.

The complainant took loan from the ICICI Bank Ltd. and complainant is paying regular EMI alongwith huge interest on the said scheme after the allotment of said flat about 10.60% to bank but no development is seen in construction by the opposite party till date and complainant is nowhere situation with EMI outflow and no chance of getting possession of property for which EMI is going. The complainant is undergoing a tremendous financial loss and cost of his plot/flat is increasing day by day purely on the default of the company/opposite parties. An residing in Lucknow on rent paying the 25000 per month.

The allotment letter of BBD SUN BREEZE Apartment project of opposite party, it has been clearly mentioned that within the period of 36 months above project will be handed over the complainants

but no development activity are seen at the present time in the project and as per the term and condition of the opposite party, the possession was to be handed over within 36 months but opposite party failed to do so.

The complainant has written several letters to opposite party regarding the progress of work but opposite party has not given any reply or information regarding construction status. On personal site visit the complainant observed that the work is at halt since more than a year and tried to contact the opposite party but no one gave time to talk on this matter.

The opposite parties are acting as builder and developer within the territorial jurisdiction of the Hon'ble Commission because the value of services above 1 crore rupees and are engaged in the development and construction of the residential units forthwith. They also develop the projects with all the basic civic amenities assuring the consumer of the market that they possess legal title on the land on which the project is situated and developed by them, opposite parties assure and promise to the consumer in the market that the possession and the fully developed unit with all the civic amenities shall be provided to the consumer within a period of 36 months from the date of allotment letters. It is assured by the opposite parties that the payment towards the unit is to be made by the complainant at the stage of development which is to be completed by the opposite parties within a period of 36 months. However, it is submitted that even after all the payment for the said unit the opposite parties delayed the delivery of possession of the flat.

It is pertinent to point out here that they opposite parties assured all the buyers that they are in the possession of the land on which the units are being developed by them and the consumer shall be provided the possession of the unit within a period of 36 months i.e. August, 2016. It is the commitment of the developer that the unit shall be situated in a fully developed project endowed with all the basic civic amenities.

The complainant is the consumer of the opposite party who has deposited the amount towards purchase of unit and the opposite party has neither provided occupancy certificate and completion certificate nor executed the sale deed for the unit/flat of SUN BREEZE apartment even after the expiry of the total period of 3 years which is clear negligence on the part of the opposite parties and covered under the provisions of the consumer Protection Act.

The opposite parties in an arbitrary and illegal manner issued the letters of intimation of offer of possession but no occupancy certificate and completion certificate was attached with the intimation of possession. Non issuing of occupancy and completion certificate by the opposite parties till date is clear negligence and deficiency in service on the part of the opposite parties.

The opposite parties did not make any effort to hand over the possession of the unit to the complainant nor issued occupancy and completion certificate in the stipulated time and as such there is no alternative with the complainant except to demand the interest on delay on the deposited amount.

From the aforementioned facts, it is amply clear that the opposite parties obtained huge sum of money from the entire customer of the project and instead of putting the same for the construction of the unit, misappropriated the same, for which the opposite parties are liable to produce the expenditure and account statement of the scheme before this Hon'ble Commission.

The complainant requires the residential unit in order to own his accommodation and for his personal use as well as for his family requirements, however, in view of serious deficiency in service, the complainants are to suffer irreparable loss and injury for which the opposite parties are required to pay compensation and damages apart from the punitive damages.

This complaint case is maintainable before this Hon'ble Commission under the provisions of the Consumer Protection Act, 2019 and this Hon'ble Commission has both pecuniary as well as territorial jurisdiction to entertain and adjudicate the present complaint.

Since the opposite parties have not complied with their own terms and conditions regarding delivery of possession of the unit in question in stipulated time even though the amount as desired by the opposite parties has been deposited by the complainant, as such opposite parties is liable to pay interest @ 24% per annum from the date of deposit of amount till the date of actual possession of flat/unit in question. In addition to this, the complainants are also entitled to get compensation of Rs.10,00,000.00 towards harassment and mental agony and opposite party be directed to pay Rs.20,00,000.00 @ 10.50 to complainant and also be directed to pay Rs.10,00,000.00 to complainants on account of damages due to deficiency in service of the opposite party and also opposite parties be directed to pay Rs.5,00,000.00 towards cost of litigation.

The opposite parties filed their written statement stating therein that M/s Viraj Construction Private Limited is a company incorporated under the Companies Act having its registered office at 55, Purana Quila, Lucknow and having its corporate office at BBD, Viraj Tower, Vibhuti Khand, Gomti Nagar, Lucknow and is developing an integrated township under the supervision of Lucknow Development Authority in village Sarai Seikh, Semra and Shahpur, Pargana, Tehsil and District Lucknow in the name and style of BBD Green City.

Further entire construction of the township developed by M/s Viraj Construction Pvt. Ltd. is under the supervision of Lucknow Development Authority as per the policy of the Government of Uttar Pradesh for development on integrated township which has been subsequently modified from time to time.

It is relevant to state here that M/s Viraj Construction Private Limited was founded with the vision to create a never before standards in real estate. Its high levels of integrity and dedication have made the company one of the most respected real estate developers visionaries from diverse fields found a common ground to provide an integrated township and giving commercial complex the professional edge, adding fun to entertainment centers, providing education with sound infrastructure and delivering homes with the advantages of both, comfort and conveniences.

There is no deficiency of service on the part of the answering opposite party and as such, the present complaint is liable to be dismissed. It is submitted that the present complaint is a sheer abuse of process of this Hon'ble Forum and has been filed by the complainants with a malafide intention to unjustly enrich themselves at the cost of the opposite party.

It is submitted that the manner in which the complainant has made allegations against the answering opposite party regarding allotment of flat and deficiency in service caused to the complaint are absolutely false and malafide. The allegations by the complainant relating to the alleged deficiency in service caused by the opposite party and demands of the complainant only suggest that the complainant has not come before this Hon'ble forum with clean hands.

It is submitted that the complainant no.1 has sought relief of refund of his amount deposited with opposite party. However, the complainants no.2 and 3 as well as complainants no.4 & 5 has sought possession of the units allotted to them as well as execution of sale deeds for the said units. The complainants have sought different reliefs and as such their interest cannot be common as provided under section 35(c) of the Act.

It is submitted that in view of the decision of the Hon'ble National Commission in Consumer Case no.97 of 2016, (Ambrish Kumar Shukla vs. Ferrous Infrastructure Pvt. Ltd.) the Hon'ble Commission has held as under:-

"The primary object behind permitting a class action such as a complaint under Section 12(1)(c) of the Consumer Protection Act being to facilitate the decision of a consumer dispute in which a large number of consumers are interested, without recourse to each of them filing an individual complaint, it is necessary that such a complaint is filed on behalf of or for the benefit of all the persons having such a community of interest. A complaint on behalf of only some of them therefore will not be maintainable. If for instance, 100 flat buyers / plot buyers in a project have a common grievance against the Builder / Developer and a complaint under Section 12(1)(c) of the Consumer Protection Act is filed on behalf of or for the benefit of say 10 of them, the primary purpose behind permitting a class action will not be achieved, since the remaining 90 aggrieved persons will be compelled either to file individual complaints or to file complaints on behalf of or for the benefit of the different group of purchasers in the same project. This, in our view, could not have been the Legislative intent. The term 'persons so interested' and 'persons having the same interest' used in Section 12(1)(c) mean, the persons having a common grievance against the same service provider. The use of the words "all consumers so interested" and "on behalf of or for the benefit of all consumers so interested", in Section 12(1)(c) leaves no doubt that such a complaint must necessarily be filed on behalf of or for the benefit of all the persons having a common grievance, seeking a common relief and consequently having a community of interest against the same service provider."

By pursuing the aforesaid, it is necessary that all the consumers/complainants are to be of the same project having common grievances. However, in the present case, by pursuing the reliefs sought the

grievance of the complainants appears to be a different and complaint is not maintainable.

It is also submitted that as per the order sheet dated 7.9.2021 of the present case, it appear that neither any application under section 35(1)(c) read with section 49 of the Act was filed nor any request was made from this Hon'ble Commission by the complainants.

The complainants have tried to mislead this Hon'ble Commission by joining the different cause of action to make jurisdiction of this Hon'ble Commission as provided under Section 47 of the Consumer Protection Act. This Hon'ble Commission has no pecuniary jurisdiction to admit the entertain this complaint, since the consideration paid or promised for:

- a. Complainant no.1 Sri Vinod Kumar Shukla is Rs.62,89,150.00 (without tax)
 - b. Complainants no.4 & 5 Sri Om Prakash Arya and Anand Swaroop Arya is Rs.46,42,571.00 (without tax)
 - c. Complainants no.2 & 3 Sri Alakh Niranjana Arya and Mr. Omkar Arya is Rs.45,83,570.00 (without tax)
- All the above amounts for the three different units of Complainant no.1 Sri Vinod Kumar Shukla, Complainants no.2 & 3 Sri Alakh Niranjana Arya and Mr. Omkar Arya and Complainants no.4 & 5 Sri Om Prakash Arya and Anand Swaroop Arya are below Rupees One Crore.

The present complaint of the complainants can only be tried by the District Commission, under section 34 of the Act. Thus, this complaint is liable to be dismissed on this ground alone. The relevant portions of the sections are reproduced below;

47. (1) Subject to the other provisions of this Act, the State Commission shall have jurisdiction--

(a) to entertain--

(i) complaints where the value of the goods or services paid as consideration, exceeds rupees one crore, but does not exceed rupees ten crore:

34. (1) Subject to the other provisions of this Act, the District Commission shall have jurisdiction to entertain complaints where the value of the goods or services paid as consideration does not exceed one crore rupees:

The above mentioned aspect has been clarified by the Hon'ble National Commission in M/s Pyari Devi Chabiraj Steels Pvt. Ltd. vs. National Insurance Company Ltd. & ors., Consumer Case no.833 of 2020:

"It appears that the Parliament, while enacting the Act of 2019 was conscious of this fact and to ensure that Consumer should approach the appropriate Consumer Disputes Redressal Commission whether it is District, State or National only the value of the consideration paid should be taken into consideration while determining

the pecuniary jurisdiction and not value of the goods or services and compensation, and that is why a specific provision has been made in Sections 34 (1), 47 (1) (a) (i) and 58 (1) (a) (i) providing for the pecuniary jurisdiction of the District Consumer Disputes Redressal Commission, State Consumer Disputes Redressal Commission and the National Commission respectively.

From a reading of the aforesaid provisions it is amply clear that for determining the pecuniary jurisdiction of the District Commission, State Commission or National Commission the value of the goods or services paid as consideration alone has to be taken and not the value of the goods or services purchased/ taken. Therefore, we are of the view that the provision of Section 58 (1) (a) (i) of the Act of 2019 are very clear and does not call for any two interpretations."

The condition precedent of complying the provisions under section 35(c) has not been fulfilled and the application under section 35(c) of the Act is not maintainable.

It is further submitted that the complainants have joined several cause of action in the present complaint which is not permissible and the present complaint is liable to be dismissed on this ground alone.

On the above preliminary objections mentioned above the present complaint is liable to be dismissed. The complainants with some wrongful and malafide intention have not submitted the true and correct facts and the answering opposite party crave leave of this Hon'ble Commission to state the correct and material facts as under:

Facts of complainant no.1 Sri Vinod Kumar Shukla.

One Mr. Vinod Kumar Shukla moved an application dated 1.11.2013 for allotment of an apartment with the opposite party M/s Viraj Constructions Pvt. Ltd. in the project Sun Breeze Apartment-II and deposited Rs.4,12,360.00 on 7.11.2013. In the application form submitted by the complainant it was categorically provided:-

9- I/we agree that the amount paid with the application and in installments as the case may be, to the extent of 10% of sale consideration of the apartment shall collectively constitute the earnest money.

10(i) I/we understand and agree that timely payment of installments of basic cost and allied/additional cost, Govt. Levy etc. pertaining to the said apartment is the essence of the terms of booking/allotment. If I/we fail/default in making payment of due amount within stipulated time then the Company shall have rights mentioned herein below.

(a) to keep on abeyance/suspension of the booking or cancel the allotment of the said apartment;

(b) to forfeit/deduct the earnest money together with any brokerage, dealer commission and interest on installments due but unpaid and interest on delayed payments.

(c) to re-allocate the provisional allotment of the said apartment which includes change in area and location of the said apartment.

(ii) If the Company opts to exercise the rights mentioned in sub-clause (a) and (b) as above, then the balance amount shall be refundable to me/us without any interest, after the said apartment is allotted to some other intending allottee(s) and after compliance of certain formalities by the allottee(s).

(iii) If the Company opts to exercise the rights mentioned in sub-clause (c) as above and as a result thereof, there are any changes in dimensions, size etc. of the said apartment, then the price towards increase/decrease of re-allotted apartment shall be dealt (paid/adjust) in a manner detailed in this application Form.

(iv) Further, if any discount/concession, in whatsoever way, has been given by the Company in the basic sale price/ payment terms to me/us in lieu of my/our consensus for timely payment of installments and other allied/additional cost, then I/we hereby authorize the Company to withdraw such discount/concession and demand the payment of such discount/concession amount as a part of sale consideration amount, which I/we hereby agree to pay immediately. The company in its absolute discretion may condone the delay by charging penal interest @24% p.a. on all outstanding dues from their respective due dates.

11- I/we further agree that in case of payment plan with discount option, if I/we fail to pay the installments in the promised time frame, then the discount payment plan shall be automatically considered as interest free time linked installment plan. In concurrence of the same the company shall take the step detailed in sub-clause (iii) and (iv) of Cause 10 and shall have right to withdraw rebates of any other discounts provide in the payment plan with discount option of the said apartment. The payment plans are annexed hereby as annexure-A. In respect of the application for allotment of Mr. Vinod Kumar Shukla unit bearing no.SBAII/T12/401 measuring 1775 sq. ft. situated at BBD Green City, Lucknow comprising of 3 BHK apartment was offered for a total consideration of Rs.62,89,150.00 (without tax) and a welcome letter dated 21.11.2013 was sent to the complainant Mr. Vinod Kumar Shukla.

On 30.11.2013 a demand for the stage of 45th day of the allotment for Rs.4,52,244.00 was raised by the opposite party with the due date 10.12.2013 which demand was finally paid by the complainant with delay. On 8.5.2014 an allotment letter was sent to the complainant which was executed between the parties.

It is submitted that as the unit was under the Gold Coin scheme on 1.2.2014 the opposite party provided a 10 gm. Gold coin to the complainant Mr. Vinod Kumar Shukla. On 8.1.2014 demand for

the stage of 90th day of the allotment for Rs.13,16,848.00 (including previous demand) was raised by the opposite party for the due date 30.1.2014 and the said demand was paid by the complainant finally on 30.8.2014 and there is a delay on the part of the complainant Mr. Vinod Kumar Shukla for approx. 7 months.

On 8.3.2014 demand due for the stage on start of excavation for Rs.15,37,185.00 (including previous dues) was raised with the due date 1.4.2014 and the said demand paid on 30.8.2014 to the opposite party by the complainant with delay. On 7.6.2014 demand due for the stage laying of stilt slab for Rs.20,83,126.00 (including previous dues) was raised by the opposite party for the due date 1.7.2014 which demand was paid by the complainant on 30.8.2014.

On 6.9.2014 demand due for the stage laying of 1st Floor slab for Rs.7,51,563.00 (including previous dues) was raised by the opposite party for the due date 1.10.2014 which demand was paid by the complainant on 21.10.2014. On 5.1.2015 demand due for the stage laying of 3rd Floor slab for Rs.5,73,895.00 (including previous dues) was raised by the opposite party for the due date 1.2.2015 which demand was paid by the complainant finally on 1.7.2015. On 19.5.2015 demand due for the stage laying of 5th Floor slab for Rs.5,56,412.00 (including previous dues) was raised by the opposite party for the due date 15.6.2015 which demand was paid by the complainant finally on 1.2.2016. On 16.9.2015 and 21.1.2016 demand due for the stage laying of 7th Floor slab for Rs.5,62,582.00 (including previous dues) was raised by the opposite party for the due date 15.10.2015 which demand was paid by the complainant finally on 2.3.2016. On 27.1.2016 demand due for the stage laying of 9th Floor slab for Rs.8,68,109.00 (including previous dues) was raised by the opposite party for the due date 1.3.2016 which demand was paid by the complainant finally on 18.4.2016.

On 27.12.2018 the complainant moved an application dated 27.12.2018 for the change of unit from project Sub Breeze Apartment-II to project Sun Breeze Apartment-I and on the request of the complainant the opposite party changed the unit of complainant from SBAIL/T12/401 to SBAIL/T6/903. All the amount deposited by the complainant was adjusted in the new unit allotted to the complainant Mr. Vinod Kumar Shukla on 10.1.2019. On 28.2.2019 demand due for the stage on internal plaster and flooring for Rs.92,892.00 (including previous dues) was raised by the opposite party for the due date 16.3.2019 which demand was not paid by the complainant.

On 7.8.2019 intimation for the fit out possession was sent to the complainant with demand of Rs.5,55,171.00 within 45 days of the said letter however the complainant has not paid the said amount. Thereafter, the complainant on 24.1.2020 requested for the change of the unit from SBAIL/T6/903 to SBA/T6/1201 and also stated for the waiver of the interest amount. The complainant agreed for the possession by 31.3.2020. The opposite party also confirmed the change from SBAIL/T12/401 to SBA/T6/1201 to the complainant and requested that the balance amount be deposited however the complainant has not deposited the said demanded amount.

On 1.6.2020 intimation letter was again sent to the complainant for the amount Rs.11,01,250.00 (with previous dues) for the due date 22.3.2020 but said demand has not been paid by the complainant. The opposite party has raised the demand from the complainant on 4.1.2021 but the

"34. A careful reading of the above provisions would show that there is no scope for the contention that wherever there are more consumers than one, they must only take recourse to Order I Rule 8 CPC, even if the complaint is not on behalf of or for the benefit of, all the consumers interested in the matter. There may be cases where only "a few consumers" and not "numerous consumers" have the same interest. There is nothing in the Act to prohibit these few consumers from joining together and filing a joint complaint. A joint complaint stands in contrast to a complaint filed in a representative capacity. For attracting the provisions of Section 35(1)(c), the complaint filed by one or more consumers should be on behalf of or for the benefit of numerous consumers having same interest. It does not mean that where there are only very few consumers having the same interest, they cannot even join together and file a single complaint, but should take recourse only to independent and separate complaints."

"35. It is true that Section 2(5)(i) uses the expression "a consumer". If the vowel "a" and the word "consumer" appearing in Section 2(5)(i) are to be understood to exclude more than one person, it will result in a disastrous consequence while reading Section 2(5)(vi). Section 2(5)(vi) states that in the case of death of a consumer, "his legal heir or legal representative" will be a complainant. Unless the words "legal heir" and "legal representative" are understood to mean 'legal heirs' and 'legal representatives', a meaningful reading of the provision may not be there."

"38. Therefore, the proper way of interpreting Section 35(1) read with section 2(5), would be to say that a complaint may be filed: (i) by a single consumer; (ii) by a recognised consumer Association; (iii) by one or more consumers jointly, seeking the redressal of their own grievances without representing other consumers who may or may not have the same interest; (iv) by one or more consumers on behalf of or for the benefit of numerous consumers; and (v) the Central Government, Central Authority or State Authority."

"39. It must be remembered that the provisions of the Consumer Protection Act are in addition to and not in derogation of the provisions of any other law for the time being in force, by virtue of Section 100. Even Section 38 which prescribes the procedure to be followed by the Commission for enquiring into the complaint, does not expressly exclude the application of the provisions of CPC. Though Sub-sections (9), (11) and (12) of Section 38 make specific reference only to a few provisions of the Code of Civil Procedure, the principle behind Order I Rule 1 enabling more than one person to join in a suit as plaintiff is not expressly excluded."

"41. In view of the above, the appeal is allowed, the impugned order of the National Commission is modified to the effect that the complaint filed by the respondents shall be treated as a joint complaint filed on behalf of only the respondents herein and not as a complaint filed in a representative capacity on behalf of or for the benefit of all the owners of all the 1134 flats. Persons who wish to implead themselves as parties to

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"9. From the above, it is clear that to file a joint Complaint the Complainants should have same interest. In the instant case, the prayers made by the Complainants are different and not same.

10. In view of the aforesaid discussion, this is not a fit case for granting permission under Section 35 (1) (c) of the Act. The State Commission erred in allowing the application under Section 35 (1) (c) of the Act. The First Appeal is accordingly

allowed, impugned order is set aside and the application under Section 35 (1) (c) of the Act is dismissed. There will be no order as to costs."

After that an application has been moved by the complainants no.2 to 5 dated 26.11.2022 praying to withdraw the case with liberty to file fresh complaint. On this application this court on 2.3.2023 permitted to withdraw the complaint on behalf of the complainants no.2 to 5 with permission to file fresh complaint and thereafter, in this case only one complainant remained present.

The counsel for the opposite party prayed that this complaint should be dismissed as a whole and the complainant no.1 should have been directed file fresh complaint. The argument has no force as we should not permit multiplication of suit and in this particular complaint case, now only complainant is there to contest the case.

Counsel for the opposite party also raised an objection that now as there is only one complainant and his share is less than Rs. 1 crore and when this complaint was filed before this Hon'ble State Commission, pecuniary jurisdiction of this Hon'ble Commission was from Rs.2 crore to Rs.10 crores and the complainant no.1 has sought a relief only for Rs.52,75,663.00. If the complainant is permitted to withdraw the case and to file a fresh complaint, the pecuniary vision would be Rs.52,75,663.00 which is valid in the pecuniary jurisdiction of this Court. So after change of circumstances we shall treat this complaint as if it has been filed now.

Section 47 of the Consumer Petition Act 2019 is as follow:

47. (1) Subject to the other provisions of this Act, the State Commission shall have jurisdiction--

(a) to entertain--

(i) complaints where the value of the goods or services paid as consideration, exceeds rupees one crore, but does not exceed rupees ten crore: Provided that where the Central Government deems it necessary so to do, it may prescribe such other value, as it deems fit;

(ii) complaints against unfair contracts, where the value of goods or services paid as consideration does not exceed ten crore rupees;

As we know now the jurisdiction has been from Rs.50 lakh to Rs.2 crores. Here in S/47 (1)(a)(i) the word used is "the value of the goods or services paid as consideration". The gist of this is the word 'or'. In the Merriam-Webster English dictionary cache that 'or' means that it is used as a function word to indicate an alternative. Conjunction is our was that joined together other words or group of words. A coordinating conjunction connects words, phrases, and clauses of equal importance. The main coordinating conjunctions are and, or, and but.

They bought apples, pears, and oranges.

You can wait either on the steps or in the car.

The paintings are pleasant but bland.

So here or is in between two was which are of equal importance and either this may be taken or that may be taken but not conjointly.

In Cambridge dictionary the word 'or' means to connect different possibilities.

Is it Tuesday or Wednesday today?

You can pay now or when you come back to pick up the paint.

Are you listening to me or not?

'or' conjunction (POSSIBILITIES) used to connect different possibilities Is today Tuesday or Wednesday?

So here also when the two possibilities are connected by 'or' it means either this or that.

According to Collins Dictionary You use or to link two or more alternatives.

'Tea or coffee?' John asked.

Spread the inside of the loaf with olive paste or pesto sauce for extra flavour.

He said he would try to write or call as soon as he reached the Canary Islands.

Students are asked to take another course in English, or science, or mathematics.

You use or to give another alternative, when the first alternative is introduced by 'either' or 'whether'.

Items like bread, milk and meat were either unavailable or obtained only on the black market.

Either you can talk to him, or I will.

I don't know whether people will buy it or not.

You use or between two numbers to indicate that you are giving an approximate amount.

Everyone benefited from limiting their intake of tea to just three or four cups a day.

When I was nine or ten someone explained to me that when you are grown up you have to work.

You use or to introduce a comment which corrects or modifies what you have just said.

The man was a fool, he thought, or at least incompetent.

There was nothing more he wanted, or so he thought.

Therefore it is clear that the word 'or' is a connection and it tells us to possibilities in the section "value of the goods or services paid as consideration,". So we can take either value of the goods or services paid as consideration. In this case the value of goods more than 52 lakhs therefore this court has pecuniary jurisdiction to try this case.

Now in the present case the allotment letter has been issued to the complainant on 01.11.2013 the allotment letter/agreement has been executed on 25 December 2013. The cost of the unit has been mentioned as ₹ 6,289,150/- in this cost basic sale price, floor charges, facing charges, lump-sum maintenance deposit, power backup charges, club membership, parking charges, external development charges, firefighting charges have been included. Payment schedule has been attached with this agreement. Para 21 of this agreement says, "the possession of the shall be given in 36 months from the date of allotment letter or extended period as permitted by the allotment letter".It means that the possession of the flat was to be delivered on or before 24 December 2016. In other words we may take the date as 01.01.2017 for delivery of possession of the said flat Before going through the evidence, pleading and documents on record, we should know the basic objective of the Consumer Protection Act.

The Consumer Protection Act, came into existence and implemented in 1986, provides Consumer Rights to prevent consumers from fraud or specified unfair practices. It safeguards and encourages and gives an opportunity to consumers to speak against insufficiency and flaws in goods and services. If traders, manufacturers and distributors follow any foul trade, this act protects their rights as a consumer.

On which products are these right applicable?

This Protection Act covers entire goods and services of all sectors that are public, private, or cooperative sectors, except those exempted by the central government. The act provides a floor for a consumer where one can file their complaint against the product and the forum takes an action against the concerned supplier and compensation is granted to the consumer for the inconvenience he/she has encountered.

Objectives of consumer protection act To Provide better and all round protection to consumer.

To Provide machinery for the speedy redressal of the grievances.

To Create framework for consumers to seek redressal.

To Provide rights to consumers.

To Safeguard rights of Consumers.

Let us know more about the rights and responsibilities of consumer Consumer Rights Listed below are the Rights of the Consumer Right to Safety- Before buying, a consumer can examine on the quality and guarantee of the goods and opt for ISI or AGMARK products.

Right to Choose- Consumer must have the right to choose from a variety and number of goods and in a competitive price Right to be informed- The buyers must be provided with complete information with all the necessary and adequate details of the product, make her/him act wise, and change the buying decision.

Right to Consumer Education- The consumer must be aware of his/her rights and avoid exploitation.

Right to be heard- The consumer will get due attention to express their grievances at a suitable platform.

Right to seek compensation- The consumer has the right to seek or ask for redressal against unfair and inhumane practices or exploitation of the consumer.

Consumer Responsibilities Responsibility to be aware - A consumer has to be careful of the safety and quality of products and services before purchasing.

Responsibility to think independently- Consumer should be well bothered about what they want and need and hence make independent choices.

Responsibility to speak out- The buyer should be fearless to speak out their problems and tell to traders what they exactly want Responsibility to complain- It becomes the consumer's responsibility to express and file a complaint about their dissatisfaction with goods or services in a sincere and fair manner.

Responsibility to be an Ethical Consumer- Consumer must be fair and not engage themselves with any deceptive practice.

The Consumer Protection Act 1986 was enacted to provide for better protection of the interests of consumers and for that purpose to make provision for the establishment of Consumers Councils and other authorities for the settlement of consumers' disputes and for matters connected therewith (Preamble).

The Act Inter alia, seeks to promote and protect the rights of consumers such as --

(1) right to be protected against marketing of goods which are hazardous to life and property;

- (2) right to be informed about the quality, quantity, potency, purity, standard and price of goods to protect the consumer against unfair trade practices;
- (3) right to be assured, wherever possible, access to variety of goods at competitive prices;
- (4) right to be heard and to assured that customers' interests will receive due consideration at appropriate forums.
- (5) Right to seek redressal against unfair practices or unscrupulous exploitation of consumers; and
- (6) Right to consumer education The objects are sought to be promoted and protected by the Consumer Protection Councils to be established at the Central and State levels.

The Act applies to all goods and services, except if otherwise provided by the Central Government by Notification. To provide speedy and simple redressal of consumer disputes, a quasi judicial machinery is set up at the District, State and Central levels. The three tier system of quasi judicial bodies will observe the principle of natural justice and are empowered to give relief of a specific nature and to award, wherever appropriate, compensation to consumers. Penalties for non-compliance of the orders given by the quasi judicial bodies have also been provided.

Thus the Consumer Protection Act is to serve the interests of the consumers. Consumer education and redressal of consumers' grievances are the two aspects of the Act. It makes good the loss a consumer suffers and increases the feeling of responsibility of the manufacturer, trader, supplier or businessman.

The provisions of the Act have to be construed in favor of the consumer to achieve the purpose of enactment as it is social benefit oriented legislation. The primary duty of the Court while construing the provisions of such an Act is to adopt a constructive approach subject to that it should not do violence to the language of the provisions and not contrary to attempted objective of the enactment.

Extent of Consumer Protection:

While other legislations may be either punitive or preventive, the Consumer Protection Act compensates the consumer. The provisions of the Act are in addition to and not in derogation of the provisions of any law at the time being in force (Sec 3). In *Maine Container Services South Pvt Ltd v Go Garments* 1998 (3) SCC 247 it has been held that the Contract Act applies to all litigants before the Commissioner under the Consumers Protection Act. Passengers traveling in train suffering injuries and loss of Jewelry as a result of assault by unruly crowd are eligible for filing of complaint before State Commission is maintainable notwithstanding the provisions of sections 100 and 103 of Railways Act, 1889. The Consumer Protection Act therefore gives the consumer an additional remedy besides those which may be available under other existing laws. Existence of an arbitration clause in the agreement is no bar to the entertainment of complaint by the Redressal Agency as the remedy under the Act is in addition to the provisions of any other law. However, the

Consumer Forums under the Act have not taken over the jurisdiction of civil Courts. If the dispute between the parties is pending in Civil Court no Consumer Forum will adjudicate the dispute. Similarly if evidence be laid by the parties to the dispute is voluminous or complicated the parties will be referred to the appropriate Civil Court.

Consumers Protection Act, thus enshrines the rights of a consumer to be informed about the quality, quantity, potency, price etc., of the goods to be protected against unfair trade practices, to seek inexpensive and expeditious redressal of grievances before the Consumer Forums. Consumer Protection Act is a benevolent piece of legislation to protect a large body of consumers from exploitation.

With the passage of time, the populace of the country is on hike and so are their opinions. Their opinion forms the basis for their interpretation, it may be a good or a bad interpretation. What would happen in the situation where people starting interpreting the laws? We might be flooded with several interpretations. The interpretations will be in such huge number that the laws will become unclear. This is the reason why lawmakers, while making the law, formulate it in accordance with the aim, set out by them, before penning down the legislations. The aim of any legislation defines the basis of the act. It becomes the ground norm of the act, based upon which the judiciary interprets the disputed texts.

The aim of any act forms the indispensable element, because it acts as the cord that delivers the real intention of the legislators behind the act. Whenever there is clash between two legislations, it is the aim of the legislation which makes the judges to derive at the endpoint in deciding which law has the superseding effect. It is through the doctrine of pith and substance that judges are able to derive at the major inclination towards one act over another act. This inclination is decided on the basis of the aim/goal of the act and the facts of that particular case.

Somewhat similar situation aroused in front of Supreme Court in the case of Aftab Singh and Others v. Emaar MGF Land Limited and Another (Review Petition (C) Nos. 2629-2630 of 2018 in Civil Appeal Nos. 23512-23513 of 2017)[1]. In this case the Supreme Court cleared out the battle between arbitration and the statutory remedy when it comes upon solving the consumer disputes, which also upheld the decision of the National Consumer Disputes Redressal Commission (NCDRC). In this case, the apex body for the consumer dispute in India (NCDRC) ruled in the favor of the statutory remedy over the arbitration.

CONSUMER PROTECTION ACT (CPA) The beneficial legislation of Consumer Protection Act aims at reducing the grievances of the all classes of customers by providing them the preferential treatment. According to the Consumer Protection Act, the consumer dispute is the entity where the consumer/ customers have been given the convenient safeguards against ample exploitation like bad customer service, faulty goods or any unfair trade practices. The interest of the customers is protected

by setting up, the three tier quasi-judicial consumer Redressal machinery which are at national, state and district levels as per section 9 of Consumer Protection Act. The Consumer Protection Act, 1986 (CPA) has been enacted in light of certain concerns related to public policy and the benefit of consumer.

So it is clear that this act is not in derogation of any act but this act is in addition to other act and it has been enacted for the benefit of the consumers. In the present case the complainant has stated that he deposited total amount of ₹ 6,289,150/- till 01.03.2016. Thus before the cut of date when the delivery of possession was to be held over, the complainant has already deposited ₹ 6,289,150/-. According to complainant thereafter other demands have been raised by the opposite parties only to extract money from the complainant. The complainant has taken loans from the ICICI Ltd bank and paying regular EMI along with his interest on the said scheme after the allotment of the said flat. When the complainant did not get any information regarding completion of the said project, he wrote many letters to the opposite parties regarding delivery of possession. The opposite parties did not respond in positive. The complainant found that the work at the site was halted for more than a year.

The opposite parties have stated that on 27.01.2016 demand due for the stage laying of ninth floor slab for Rs.868,109/- was raised on by him for the due date 01.03.2016 which was paid by the complainant on 18.04.2016. The opposite parties had admitted all the payments are or other demands raised before this date which was paid by the complainant. The opposite parties have said that on 27.12 2018 the complainant moved an application for the change of unit from project Sun Breeze Apartment-II to project Sun Breeze Apartment - 1 and on the request of the complainant the unit has been changed and all the amount deposited by the complainant was adjusted in the new unit allotted to the complainant on 10.01.2019.

Now the most relevant point is this, that the last demand by the opposite parties were made on 27.01.2016 and it was paid by the complainant on 18.04.2016. Thereafter no demand was made till 28.02.2019. Now the period for delivery opposition has already been expired which was in all circumstances was 24.12.2016. No specific reasons have been shown about the delay of the work. When all the demand for a clear by the complainant by 18.04.2016, why did the possession of the flat was not deliver to the complainant on or before 24.12.2016 . It means there was clear deficiency of service on the part of the opposite parties. It is also unfair trade practice because they could not fulfill their promise. They have become defaulter on 24.12.2016.

Now the demand been sent to the complainant on 28.02.2019 to demand due for the states on internal plaster and flooring for Rs.92,892/- and this demand was made not paid by the complainant. Again on 07.08.2019 the opposite parties intimated the complainant to take the fit out possession with the demand of Rs.555,171/- and asked

him to deposit the amount within 45 days of the said letter. Strange enough why this fit out possession was being given to the complainant? Nothing has been disclosed by the opposite parties. Whether the opposite parties have received the completion certificate and occupancy certificate? Both the certificates are necessary to obtain before offering delivery opposition to the allottee. It is importance should be known by the following legal article.

COMPLETION / OCCUPANCY CERTIFICATE When buying a home, it is vital to obtain documents, such as the Occupancy Certificate (OC) and Completion Certificate (CC). These are essential documents that allow you to mortgage or sell your home. Hence, homebuyers are advised to take possession of their flat or property only after these documents have been issued.

According to Vikas Bhasin, CMD, Saya Group, "Completion Certificate and Occupancy Certificate are some of the most important documents for a home buyer. Civic authorities can evict the occupants in case of non-availability of the necessary approvals. Before investing in a property, people must be doubly assured that all the certificates and approvals are in place."

Let us dive a little deeper into the details of these documents and their importance before you make a move to buy your dream home.

Owning a home is the culmination of years of savings, research, and paperwork. After patiently waiting for the construction to be complete, you finally register the property and take possession of your flat. But what if your dream home is declared unauthorised, and you are evicted by the authorities? This is not as far-fetched as it sounds. This nightmare could turn into reality without a crucial link in the property sale process - the Occupancy Certificate (OC).

The majority of apartments in different Indian cities have been occupied by owners without any occupancy certificate. This oversight can turn into a costly mistake, jeopardising the legal status of your dream home. The importance of the occupancy certificate cannot be overstated as it seals the legal status of your property and protects your ownership rights.

Decoding legal documents To understand the importance of an occupancy certificate and other legal documents, let's decode the legal jargon and understand their meaning in simple terms. Here's a ready reckoner of the most important legal documents related to your property:

Occupancy Certificate An OC certifies that the construction of the building has complied with the approved plans. It is issued by local municipal authorities or the building proposal department once the building has been completed and is ready to be occupied. Simply put, without an OC, your building has not been awarded a 'pass

certificate'.

Completion Certificate A Completion Certificate (CC) is issued only after the construction meets other building standards like distance from the road, the height of the building, and rainwater harvesting system. A CC alone cannot legalise occupation; the OC is a must.

Commencement Certificate If you are buying an under construction property, make sure you check the Commencement Certificate before signing the agreement. Many builders do not wait for a Commencement Certificate. This is illegal and can create serious problems in obtaining an OC at a subsequent stage.

Why is it unsafe to buy a flat without OC?

In the absence of a valid OC, the local municipal body can initiate serious action against flat owners. In 2014, residents of a well-known building complex in Mumbai's upscale Worli area were hit with a bolt from the blue after their complex was declared unauthorised. At the time of possession, buyers overlooked the issuance of an OC from the builder. It was only after that they were forced to evacuate their flats that the writing on the wall became clear to them.

This is just one instance, and if buyers are not careful about getting the OC, they may face the following repercussions:

- In the absence of a valid OC, your building can be demolished as it can be classified as an unauthorised structure.
- The OC is crucial while applying for a home loan or loan to purchase a resale flat. If you wish to sell or hypothecate the property after a lapse of time, you will not be able to do so without a valid OC.
- The water connection, sanitary connection or electricity supply can be disconnected in the absence of an OC.

How to obtain an OC The OC is obtained from local municipal bodies by submitting an OC application form along with the following documents:

- Commencement Certificate
 - Completion Certificate
 - Built and Section plan
 - NOC for fire and pollution
 - Area calculation sheet of floor signed by an authorised architect
 - Photographs of the completed building
 - Tax assessment with tax paid receipt
 - Photographs of rain harvesting and solar panels
 - Copy of the sanctioned plan
- After submitting the form, authorities inspect the complex and confirm if it has conformed to the approved plan before issuing an OC. Legally and ideally, a builder should submit an application with the municipal commissioner for the OC within 30

days of completion of the property.

How you can apply for an OC As a flat owner, you can also apply for an OC by approaching the local corporation or municipality, and if all approvals are in place, an OC is issued within 30 days of application. You will have to submit the same documents as the builder to procure an OC.

Know your rights If the builder refuses to provide an OC, you should consider exercising your legal rights. You can issue a notice against the builder asking him to apply and hand over the copy of the OC within a month. You can also approach consumer forums and file a writ petition demanding the OC.

Some canny builders simply present the receipt of the OC and dupe gullible customers. But you shouldn't accept anything less than the actual OC as the receipt may be dated.

Landmark legislations like the Real Estate Regulatory Act (RERA) have been passed to regulate the sector, promote transparency and protect consumer rights. However, consumers must be vigilant and understand their rights and responsibilities towards owning a property. Documents like OC are essential and ensure the security of your investment.

Going forward, real estate experts believe that the OC should be made mandatory for the registration of flats and essential services. Until then, buyers must ensure builders get all the necessary approvals before handing over a property.

A Completion Certificate (CC) is an important legal document that certifies that a building is constructed according to the laid down norms and master plan of the city. This document has all the information related to the project, such as the building materials used, building height, and building plan, among other things like provision for green belt.

In a nutshell, this document certifies that the building adheres to all the prevailing rules and has not violated any norms. In fact, this document is to be shown compulsorily to the authorities to obtain electricity and water connection.

Builders are allowed to obtain a provisional Completion Certificate when there are minor works left in the project. Authorities then provide a provisional certificate valid for six months. After the expiry of the six months, the developer is bound to get a final CC.

Who issues a Completion Certificate?

Local authorities issue the Completion Certificate after a thorough inspection of the premises. If the developer violates no rules, authority issues a Completion Certificate.

Why is Completion Certificate important?

Buyers must be aware of the fact that if they are buying or moving into a property that does not have a Completion Certificate, they might be making a risky investment choice. The civic authorities hold the power to slap heavy penalties on the developer, leading to stalling or cancellation of the registered layout of the project. In case the building is already occupied, residents may also have to face eviction in extreme cases.

Difference between Occupancy Certificate and Completion Certificate Occupancy Certificate examines and certifies a property for adherence to bye-laws, civic amenities, electricity, sanitation and other clearances. On the other hand, a Completion Certificate is a document that certifies that a property is fit for possession by the buyers.

Clarifying the difference, Deepak Kapoor, Director, Gulshan Homz, says, "Completion Certificate is just a reaffirmation that the building has been constructed as per the building byelaws and the layout plan has been approved by various concerned authorities. Occupation Certificate signals that there is no violation of building construction norms, and thus, the structure is safe for occupants.

Generally, these documents are not required at the time of registry, and hence, buyers tend to overlook or ignore these. But for their own benefit and peace of mind, it is warranted that buyers of both ready-to-move-in as well as under-construction properties check these documents before taking possession. This would help avoid any unnecessary dispute or confrontation in the future."

Not a single word has been said about these certificates by the opposite parties. Whether any offer has been given by the opposite party to pay penalty regarding delay in delivery of possession? No such averments made in the written statement. On one side the complainant was paying the EMI to the concerned bank with heavy rate of interest and on the other side the builders are not in a position to handover the possession of the said unit to the complainant. In the absence of completion certificate or occupancy certificate, delivery of possession is no possession in the eye of law.

The Hon'ble Supreme Court on occupancy certificate by the builders.

Supreme Court: The bench of Dr. DY Chandrachud* and AS Bopanna, JJ has held that failure on the part of the builder to provide occupancy certificate is a continuing breach under the Maharashtra Ownership Flats (Regulation of the Promotion of

Construction, Sale, Management and Transfer) Act 1963 and amounts to a continuing wrong.

Factual Background The appellant is a co-operative housing society. The respondent constructed Wings 'A' and 'B' and entered into agreements to sell flats with individual purchasers in accordance with the Maharashtra Ownership Flats (Regulation of the Promotion of Construction, Sale, Management and Transfer) Act 1963 (MOFA). The members of the appellant booked the flats in 1993 and were granted possession in 1997. According to the appellant, the respondent failed to take steps to obtain the occupation certificate from the municipal authorities.

There was an obligation on the respondent to provide the occupancy certificate and pay for the relevant charges till the certificate has been provided, however, the respondent time and again failed to provide the occupancy certificate to the appellant society. For this reason, a complaint was instituted in 1998 by the appellant against the respondent. The NCDRC on 20 August 2014 directed the respondent to obtain the certificate within a period of four months. Further, the NCDRC also imposed a penalty for any the delay in obtaining the occupancy certificate beyond these 4 months. Since 2014 till date, the respondent failed to provide the occupancy certificate.

In the absence of the occupation certificate, individual flat owners were not eligible for electricity and water connections. Due to the efforts of the appellant, temporary water and electricity connections were granted by the authorities. However, the members of the appellant had to pay property tax at a rate 25% higher than the normal rate and water charges at a rate which was 50% higher than the normal charge.

Analysis Obligations of Promoter under MOFA Section 3 of the MOFA imposes certain general obligations on a promoter. These obligations inter alia include making disclosures on the nature of title to the land, encumbrances on the land, fixtures, fittings and amenities to be provided, and to not grant possession of a flat until a completion certificate is given by the local authority. The responsibility to obtain the occupancy certificate from the local authority has also been imposed under the agreement to sell between the members of the appellant and the respondent on the latter.

Sections 3 and 6 of the MOFA indicate that the promoter has an obligation to provide the occupancy certificate to the flat owners. Apart from this, the promoter must make payments of outgoings such as ground rent, municipal taxes, water charges and electricity charges till the time the property is transferred to the flat-owners. Where the promoter fails to pay such charges, the promoter is liable even after the transfer of property.

Limitation In the instant case, the appellant submitted that since the cause of action is founded on a continuing wrong, the complaint is within limitation.

Section 24A of the Consumer Protection Act 1986 provides for the period of limitation period for lodging a complaint. A complaint to a consumer forum has to be filed within two years of the date on which the cause of action has arisen.

Section 22 of the Limitation Act 1963 provides for the computation of limitation in the case of a continuing breach of contract or tort. It provides that in case of a continuing breach of contract, a fresh period of limitation begins to run at every moment of time during which the breach continues.

A continuing wrong occurs when a party continuously breaches an obligation imposed by law or agreement. The continuous failure to obtain an occupancy certificate is a breach of the obligations imposed on the respondent under the MOFA and amounts to a continuing wrong.

The appellants, therefore, were entitled to damages arising out of this continuing wrong and their complaint is not barred by limitation.

"Rejecting the complaint as being barred by limitation, when the demand for higher taxes is made repeatedly due to the lack of an occupancy certificate, is a narrow view which is not consonance with the welfare objective of the Consumer Protection Act 1986."

Consumer Section 2(1)(d) of the Consumer Protection Act defines a 'consumer' as a person that avails of any service for a consideration. A 'deficiency' is defined under Section 2(1)(g) as the shortcoming or inadequacy in the quality of service that is required to be maintained by law.

In the present case, the NCDRC had held that the appellant is not a 'consumer' under the provisions of the Consumer Protection Act as they have claimed the recovery of higher charges paid to the municipal authorities from the respondent. Extending this further, the NCDRC observed that the respondent is not the service provider for water or electricity and thus, the complaint is not maintainable.

The respondent was responsible for transferring the title to the flats to the society along with the occupancy certificate. The failure of the respondent to obtain the occupation certificate is a deficiency in service for which the respondent is liable. Thus, the members of the appellant society are well within their rights as 'consumers' to pray for compensation as a recompense for the consequent liability (such as payment of higher taxes and water charges by the owners) arising from the lack of an occupancy certificate.

[Samruddhi Co-operative Housing Society Ltd v. Mumbai Mahalaxmi Construction Pvt. Ltd, 2022 SCC OnLine SC 35, decided on 11.01.2022]"

Regarding delay of possession the only Supreme Court has held in the following case law, "In Kolkata West International City Pvt. Ltd. Vs. Devasis RudraCitation : 2019 Latest Caselaw 299 SC Judgement Date : Mar/2019[Civil Appeal No. 3182 of 2019 @ SLP (C) No(S). 1795 of 2017], the Hon'ble Supreme Court has held regarding delay in giving possession.

"This appeal arises from the judgment dated 21 November 2016 of the National Consumer Disputes Redressal Commission¹. A Buyer's Agreement dated 2 July 2007 was entered into between the appellant and the respondent. The respondent paid an amount of Rs 39,29,280 in 2006 in terms of a letter of allotment dated 20 September 2006. The agreement between the parties envisaged that the appellant would hand over possession of a Row House to the respondent by 31 December 2008 with a grace period of a further six months ending on 30 June 2009.

The respondent filed a consumer complaint before the West Bengal State Consumer Disputes Redressal Commission² in 2011 1 "NCDRC" "SCDRC" 2 praying for possession of the Row House and in the alternative for the refund of the amount paid to the developer together with interest at 12% per annum. Compensation of Rs 20 lakhs was also claimed. The SCDRC allowed the complaint by directing the appellant to refund the moneys paid by the respondent together with interest at 12% per annum and compensation of Rs.5 lakhs. The NCDRC has modified this order by reducing the compensation from Rs 5 lakhs to Rs 2 lakhs. Mr. Ravinder Narain, learned counsel appearing on behalf of the appellant submits that the primary relief which was sought in the consumer complaint was for delivery of possession. According to the appellant, the completion certificate was received on 29 March 2016, which was intimated to the respondent on 11 April 2016.

Moreover, before the SCDRC, in its written submissions, the appellant had offered possession of the Row House to the respondent. It has also been stated that in a complaint which was filed by an association representing the allottees of 161 Row houses, a settlement was arrived on 11 September 2018 before the NCDRC specifying the date on which possession would be handed over together with interest at 6% per annum instead of 4% as mentioned in the Buyers' Agreement. It was urged that the developer having made a substantial investment in terms of the agreement, a direction for refund is not warranted. It has also been urged that the SCDRC in the course of its decision erroneously observed that the developer was unable to fulfill its obligation to complete the construction within the agreed period and it was not certain when the Row house would be handed over. It was urged that this observation by the SCDRC is contrary to the record since before it, a specific offer of possession was made.

It has been urged on behalf of the respondent by Mr. Supriya Bose, learned senior counsel that a consumer complaint was filed in the year 2011. At that stage, the appellant was bonafide ready and willing to accept possession. However, nearly seven years have elapsed after the extended date for the delivery of possession which expired on 30 June 2009. In spite of this, no offer of possession was forthcoming. Learned senior counsel submitted that the letter dated 22 March 2016 of the developer was conditional and despite the subsequent letter dated 11 April 2016, no formal offer of possession was ever made by the appellant. Moreover, it was urged that the interest awarded by the NCDRC at the rate of 12% is just having regard to the economic loss and hardship suffered by the respondent. While considering the rival submissions, we must at the outset advert to the following clause which was contained in the Buyer's Agreement:

"Unless prevented by circumstances beyond the control of the company and subject to Force Majeure, KWIC shall ensure to complete the said unit in all respect within 31st December 2008 only for the Cluster D. Further there will be a grace period of 6 months (up to 30th June, 2009) from the date of completion. In case the possession is not transferred after expiry of the said grace period, KWIC will be liable to pay prevailing 4 saving Bank interest of the State Bank of India for each month of delay on the money given by the allottee as compensation but no compensation will be paid on account of force majeure reasons." It is the above clause which is pressed in aid by the developer. Under the aforesaid clause, any delay beyond 30 June 2009 would result in the developer being required to pay interest at the prevailing savings bank interest of the State Bank of India.

Interestingly, where the buyer is in default, the agreement stipulates that interest at the rate of 18 per cent from the date of default until the date of payment would be charged for a period of two months, failing which the allotment would be cancelled by deducting 5% of the entire value of the property. The agreement was evidently one sided. For a default on the part of the buyer, interest at the rate of 18% was liable to be charged. However, a default on the part of the developer in handing over possession would make him liable to pay interest only at the savings bank rate prescribed by the SBI. There is merit in the submission which has been urged by the buyer that the agreement was one sided.

The clause which has been extracted in the earlier part of this order will not preclude the right and remedy available to the buyer to claim reasonable interest or, as the case may be, compensation. The essential aspect of the case which is required to be analysed is whether the buyer was entitled to seek a refund or was estopped from doing so, having claimed compensation as the primary relief in the consumer complaint.

The Buyer's Agreement is dated 2 July 2007. In terms of the agreement, the date for handing over possession was 31 December 2008, with a grace period of six months.

Even in 2011, when the buyer filed a consumer complaint, he was ready and willing to accept possession. It would be manifestly unreasonable to construe the contract between the parties as requiring the buyer to wait indefinitely for possession. By 2016, nearly seven years had elapsed from the date of the agreement. Even according to the developer, the completion certificate was received on 29 March 2016. This was nearly seven years after the extended date for the handing over of possession prescribed by the agreement. A buyer can be expected to wait for possession for a reasonable period.

A period of seven years is beyond what is reasonable. Hence, it would have been manifestly unfair to non-suit the buyer merely on the basis of the first prayer in the reliefs sought before the SCDRC. There was in any event a prayer for refund. In the circumstances, we are of the view that the orders passed by the SCDRC and by the NCDRC for refund of moneys were justified. Having regard to all the facts and circumstances of the case, we modify the order of the NCDRC by directing that the appellant shall pay interest at the rate of 9% per annum to the respondent instead and in place of 12% as directed by the NCDRC. Save and except for the above modification, we affirm the directions of the NCDRC.

The amount outstanding in terms of the directions of this Court shall be released out of the moneys which have been deposited by the appellant. The balance, if any, that remains shall be refunded to the appellant. The appeal is, accordingly, disposed of. There shall be no order as to costs. Pending application(s), if any, shall stand disposed of."

Now from all the given circumstances it has been clear that the opposite parties failed to deliver the possession of the unit within the promised time and they now sending different demand to extract the money from the complainant but did not disclose as Homer's penalty they had to pay to the complainant regarding delay in the delivery of possession to the complainant. As far as fit out possession is concerned, it relates to unfinished work in the flat for which the builder pays for the finish of the work needed in the unit. But no such term has been used in the Consumer Protection Act. The opposite parties have stated that there has been delay in payment of various instalments are by the complainant. But if it has been rectified by the opposite parties, now this question cannot be raised. If the amount was not paid in time they may charge interest according to the agreement or any other condition as mentioned agreement. But once the time of delivery of possession has been expired and before that date every demand was made clear by the complainant, no new demand can be raised after the cut-off date because the possession was not handed over to the complainant. Now the defaulter is opposite parties and not the complainant.

Whether the opposite parties have paid any interest on the amount deposited by the complainant.? Regarding payment of interest on the deposited amount only Supreme Court has said in various judgment if you are being quoted here.

Ghaziabad Development Authority v. Balbir Singh In the Supreme Court of India
Name of the Case: Ghaziabad Development Authority v.

Balbir Singh Citation (2004) 4 SCC 65 Year of the Case
Petitioner Ghaziabad Development Authority Respondent Balbir Singh
Bench/Judges Justice H. K. Sema Justice S.N. Variava Acts Involved Consumer
Protection Act, 1986 Important Sections Section 14 of the Consumer Protection
Act, 1986 Section 22 of the Consumer Protection Act, 1986 The case of Ghaziabad
Development Authority v Balbir Singh is a landmark decision that laid down certain
judicial standards regarding the grounds on which compensation may be awarded,
particularly, in matters of allotment of flats/plots by land development authorities.
Compensation under consumer protection laws is required to recompense for loss or
injury suffered by consumers, and therefore, the quantum of compensation to be
awarded would necessarily have to be determined based on the facts and
circumstances of each case. This decision set an established precedent on the issue of
compensation to be awarded in consumer disputes, and its principles have been
relied upon in numerous subsequent cases.

Introduction The consumer protection laws establish a redressal mechanism whereby consumers can claim monetary reliefs for defective goods, deficiency in service, and unfair trade practices. Sections 14 and 22 of the Consumer Protection Act, 1986 empower the District, State, and National Consumer Disputes Redressal Commission to "to pay such amount as may be awarded by it as compensation to the consumer for any loss or injury suffered by the consumer due to the negligence of the opposite party". Such monetary reliefs i.e., compensation awarded would have to be based on the facts and circumstances of each case, since the loss and injury suffered would vary. Given the absence of a straight-jacket formula for the determination of the amount of compensation to be awarded in each case, it follows that there can be no uniformity in the award of compensation.

It is for the Consumer Forum to grant compensation to the extent it finds it reasonable, fair, and proper in the facts and circumstances of a given case according to the established judicial standards where the claimant can establish his charge.⁽¹⁾ These 'established judicial standards' have been laid down in a plethora of cases. The case of Ghaziabad Development Authority v Balbir Singh⁽²⁾ is a landmark decision that discussed the grounds on which compensation may be awarded, particularly, in matters of allotment of flats/plots by land development authorities. It set an established precedent on the issue of compensation to be awarded in consumer disputes, and its principles have been relied upon in numerous subsequent cases.

Background and Facts of the Case The present case of Ghaziabad Development Authority v Balbir Singh arose out of an appeal directed against the judgment and award passed by the National Consumer Disputes Redressal Commission (NCDRC) awarding an interest @ 18% per annum. The Commission was considering a bunch of matters, the lead being the case of Haryana Urban Development Authority vs. Darsh Kumar, where it held that in cases of deficiency of service by development authorities, the rate of interest awarded must be 18% per annum. Following this, the Commission disposed of subsequent matters by its preceding award. Numerous appeals were filed

before the Supreme Court against the decision of the Commission in various cases, primarily against its award of 18% interest.

Since the Supreme Court was considering a wide number of matters relating to allotment of land by development authorities, the facts of each case vary. In some cases, the scheme had gotten canceled after the payment of monies and allotment of flats/plots. Delivery of possession of the flats was therefore refused to the allottees. In some cases, either possession was offered at an increased rate at a much later date possession or was offered but not taken by the party. Possession was not delivered in some cases despite payment of monies and no refusal to deliver possession. In some cases, the construction was of sub-standard quality or it was incomplete, or the authority demanded extra amounts from the party which was paid only by some. In some cases, allotments were made and possession offered of flats/land which was encumbered or occupied by some other party.

The appeal in the Supreme Court was filed due to the Commission granting interest at the rate of 18% per annum irrespective of the type of case or amount of delay and without even going into the facts of the case. Complainants had asked for the refund of amounts wrongly collected and in other cases, asked for a refund of the amounts paid.

Issues Involved Whether the grant of interest at the rate of 18% per annum by the National Consumer Disputes Redressal Commission in all cases is justifiable?

Related Provisions Section 14 of the Consumer Protection Act, 1986 Section 22 of the Consumer Protection Act, 1986 **Related Cases** The Supreme Court relied upon the case of Lucknow Development Authority v. M. K. Gupta[3] which firstly widened the scope of "service" defined under Section 2(1)(o) of the Consumer Protection Act, 1986 to include the housing construction or building activities carried on by private or statutory bodies.

The Court relied upon the English case *Geddis v. Proprietors of Bann Reservoir*[4] which gave a wide connotation to the word compensation, holding that "Compensation has not been defined in the Act. According to the dictionary, it means, 'compensating or being compensated; thing given as recompense;'. In a legal sense, it may constitute actual loss or expected loss and may extend to physical mental or even emotional suffering, insult or injury or loss."

Judgment The Supreme Court, at the outset, reiterated the position taken in the case of Lucknow Development Authority v. M.K. Gupta, and held that "the Consumer Protection Act has a wide reach and the Commission has jurisdiction even in cases of service rendered by statutory and public authorities". It further held that the power of the NCDRC extends to awarding compensation to consumers for misfeasance in the public office i.e. an act which is oppressive or capricious or arbitrary or negligent provided loss or injury is suffered by a citizen. Therefore, it upheld the appeals filed before it to the extent that it confirmed the jurisdiction of the NCDRC to award compensation in cases of service rendered by statutory & public authorities (the land development authorities in the present case).

As to the issue of whether the grant of interest at the rate of 18% per annum by the NCDRC in all cases is justifiable, the Supreme Court held in the negative. It stated that "the power to and duty to award compensation does not mean that irrespective of facts of the case compensation can be awarded in all matters at a uniform rate of 18% per annum." It held it to be unsustainable. The Court further stated that the "Award of compensation must be under different separate heads and must vary from case to case depending on the facts of each case." The purpose of awarding compensation is to recompense for a loss or injury suffered and such compensation would therefore be proportional to the amount of loss and injury.

While considering the compensation to be awarded to the consumers in cases of deficiency of service by Development Authorities, the Court laid down a range of principles for the determination of the amount of compensation, summarised below:

To award compensation, the Forum or the Commission must determine that service has been deficient and/or misfeasance in public office which has resulted in loss or injury. While no hard and fast rule can be laid down, the Court gave a few instances where the award of compensation would be justifiable, including where possession is not handed over within the intimated period even though allotment is made and the price is paid. In such cases, the loss could be determined based on loss of rent which could have been earned if possession was given. Compensation could also be the scheme has been canceled without any justifiable cause, after the allotment.

Compensation cannot be uniform and to illustrate this, the Court lays down the principle to be followed for the determination of compensation in two cases- - (a) where the delivery of possession is being directed, and (b) where only the monies are directed to be returned or refunded by the Court. In case (a), the compensation for harassment will necessarily have to be less since in a way the aggrieved party is being compensated by an increase in the value of the property he is getting. In case (b) however, the party is suffering a greater loss since he has been deprived of the flat/plot, and his expectation of delivery of possession. He would also be denied the benefit of an increase in the value of land and the compensation thereof. Therefore, the compensation to be awarded in such cases would have to be higher than in case (a).

The Court held that "such compensation has to be worked out after looking into the facts of each case and after determining what is the amount of harassment/loss which has been caused to the consumer."

Compensation would include compensation for physical, mental, or even emotional suffering, insult, or injury or loss.

Awarding of Compensation in the Event of Deficiency in Service Rendered The consumer protection laws have a wide reach and the consumers are entitled to receive compensation for deficiency in services rendered by statutory and public

authorities. The Consumer Commissions have been vested with the jurisdiction to award the value of goods or services and compensation. On being satisfied that a complainant is entitled to compensation for loss or injury or harassment or mental agony or oppression, it must direct the authority to pay compensation. A wide discretion has been given to determine the quantum of compensation for any loss or damage suffered by a consumer, to redress any injustice. However, it is a well-established principle that the computation of compensation has to be fair, reasonable, and must reconcile with the loss or injury suffered. The Consumer Forum is cast with the duty to take into account all relevant factors for arriving at the compensation to be paid.

This landmark decision has set a precedent on the matter of compensation to be awarded in matters relating to allotment of land by development authorities and has been relied upon in many subsequent cases of the Supreme Court. In the case of H. P. Housing Board v Varinder Kumar Garg[5] and Haryana Urban Development Authority vs Darsh Kumar[6], the Supreme Court directed the Commission to follow the principles laid down in the case of Ghaziabad Development Authority vs. Balbir Singh in future cases.

Conclusion This landmark decision laid down rudimentary principles and set judicial standards concerning the awarding of compensation and the determination of the quantum of compensation to be awarded. It struck down the mechanical application of a fixed rate of interest at 18% per annum by the National Commission in numerous cases, asserting that there can be no hard and fast rule.

The principles enunciated go a long way in ensuring that consumers are compensated appropriately and proportionally for the loss and injury suffered. This decision has further strengthened the consumer protection laws by bringing clarity to how the consumer is required to award compensation.

References Indian Kanoon <https://indiankanoon.org/> Consumer Protection Act, 1986 http://legislative.gov.in/sites/default/files/A1986-68_o.pdf [1] Chief Administrator, H.U.D.A. & Anr. v. Shakuntla Devi, (2017) 2 SCC 301 [2] (2004) 5 SCC 65 [3] (1994) 1 SCC 243 [4] (1878) 3 AC 430 [5] (2005) 9 SCC 430 [6] (2005) 9 SCC 449 In a latest judgment the only Supreme Court has redefined the rate of interest.

In a latest case, on Supreme Court in Petition(s) for Special Leave to Appeal (C) No(s). 24059/2022 (Arising out of impugned final judgment and order dated 19-09-2022 in RP No. 1187/2022 passed by the National Consumers Disputes Redressal Commission, New Delhi) MEERUT DEVELOPMENT AUTHORITY Petitioner(s) VERSUS SURESH CHAND GARG Respondent(s) (FOR ADMISSION and IA No.202401/2022-EXEMPTION FROM FILING O.T.) Date: 05-01-2023 This petition was called on for hearing today.

Held "We have heard learned counsel for the petitioner and find that the order passed by the Consumer Commission was reasonable and there was no reason of filing appeal/revision against the substantive order passed on the consumer complaint by the District Consumer Commission dated 06.09.2019. Consequently, the present petition is disposed of with a direction, to sum up the litigation which is pending for a long time, that let the order of the District Consumer Commission dated 06.09.2019 shall be complied with and the respondent be refunded the entire deposit with simple interest at the rate of 12% per annum within a further period of 60 days from today, failing which it shall carry interest at the rate of 15% per annum until actual payment."

So the Hon'ble Supreme Court has specifically said that the rate of interest shall be 12% if paid within 60 days from the date of judgment otherwise the rate of interest will be 15% per annum until actual payment.

Regarding payment of compensation, damages, rent et cetera the following case laws of Hon'ble Supreme Court and Hon'ble NCDRC are worth mentioning.

In the case of H. P. Housing Board v. Varinder Kumar Garg [(2005) 9 SCC 430] and Haryana Urban Development Authority vs. Darsh Kumar[(2005) 9 SCC 449], the Supreme Court directed the Commission to follow the principles laid down in the case of Ghaziabad Development Authority vs. Balbir Singh in future cases."

Hon'ble Supreme Court in the case of Haryana Urban Development vs. Darsh Kumar, Etc., Civil Appeal no 5796 of 2002 decided on 28 July, 2004 has held ;

"This Court has, in the case of Ghaziabad Development Authority vs. Balbir Singh reported in (2004) 5 SCC 65, deprecated this practice. This Court has held that interest at the rate of 18% cannot be granted in all cases irrespective of the facts of the case. This Court has held that the Consumer Forums could grant damages/compensation for mental agony/harassment where it finds misfeasance in public office. This Court has held that such compensation is a recompense for the loss or injury and it necessarily has to be based on a finding of loss or injury and must co-relate with the amount of loss or injury. This Court has held that the Forum or the Commission thus had to determine that there was deficiency in service and/or misfeasance in public office and that it has resulted in loss or injury. This Court has also laid down certain other guidelines which the Forum or the Commission has to follow in future cases.

We are informed that in spite of there being no stay, to payment of interest beyond 12% and in spite of clarification given by this Court's order (reported in (2004) 5 SCC 65), the amounts have still not been paid. We feel that for the lapse Appellants must pay interest at the rate of 15% from 17th March, 2004 till payment. Appellants shall also pay costs fixed at Rs.500/- in each case to the Legal Aid Society of the Supreme

Court. The Appellants must recover the amount paid towards costs personally from the officer/s, who were responsible for not paying even after clarification by this Court. We clarify that this Order shall not be taken as a precedent in any other matter as the order has been passed taking special features of the case into account. The Forum/Commission will follow the principles laid down by this Court in the case of Ghaziabad Development Authority vs. Balbir Singh (supra) in future cases. The Appeals are disposed off in above terms. There will be no order as to costs."

So it is clear that the compensation and rate of interest shall depend on the facts and circumstances of each case and no hard and fast rule can be framed. In this connection some of the judgment of the Supreme Court and Hon'ble NCDRC should be taken into account.

In the case of PRIYANKA MITTAL & ANR. V. PARSVNATH DEVELOPERS LTD. & ANR. (NCDRC). These appeals arise out of single order of State Commission, hence, decided by common order. These appeals have been filed against the order dated 25.2.2015 in Complaint Nos. 18 of 2013- Nalin Bhargava & Anr. Vs. Parsvnath Developers Ltd. & Anr.; 34 of 2013- Jasleen Viswanathan & Anr. Vs. Parsvnath Developers Ltd. & Anr.; 58 of 2011- Janmejai Mani Tiwari Vs. Parsvnath Developers Ltd. & Anr.; 68 of 2013- Indu Singh Vs. Parsvnath Developers Ltd. & Anr.; 69 of 2013- Poonam Sagar Vs. Parsvnath Developers Ltd. & Anr.; 86 of 2010- Priyanka Mittal & Anr. Vs. Parsvnath Developers Ltd. & Anr.; 101 of 2011- Mohd. Aslam Khan & Anr. Vs. Parsvnath Developers Ltd. & Anr.; 130 of 2012- Dr. Sunil Kr. Singh & Anr. Vs. Parsvnath Developers Ltd. & Anr.; 49 of 2012- Neera Mittal & Anr. Vs. Parsvnath Developers Ltd. & Anr.; 74 of 2011- Deepak Bhalla Vs. Parsvnath Developers Ltd. & Anr.; 87 of 2010- Syed Gufran Ali Alvi & Anr. Vs. Parsvnath Developers Ltd. & Anr.; 96 of 2011- Uppasana Malik Vs. Parsvnath Developers Ltd. & Anr.; 175 of 2013- Umesh Chandra Dixit & Anr. Vs. Parsvnath Developers Ltd. & Anr.; 97 of 2011- Pravin Kumar Goel & Anr. Vs. Parsvnath Developers Ltd. & Anr. which complaints were partly allowed.

The Hon'ble NCDRC held that:

"Brief facts of the cases are that opposite parties/respondents are engaged in the activity of housing construction and accordingly they have launched a project named as Parsvnath Planet situated in Gomti Nagar, Lucknow. The project was demonstrated to be very lucrative and made attractive to the vendees, in order to procure/collect money from the needy persons demonstrating themselves to be excellence in the field of construction activity as compared to other builders and assured the buyers/complainants that it has been duly approved by the Lucknow Development Authority and necessary permission has also been obtained from them. The emphasis was made by the opposite parties that the possession of the Unit shall be given within a scheduled period of 36+6=42 months stipulated in agreements executed in between the parties for the project launched in the year 2006. The complainants/appellants attracted by the promise and assurance of the opposite parties, somehow managed and arranged the money from their personal sources as well as on loan at attractive rate of interest and the hard earned money was paid by them to the opposite parties in a hope that the possession of the units shall be

provided to them in the year 2009 and they can leave peacefully in their own houses, since the complainants are living in rented houses.

The complainants visited the construction site of the opposite parties after depositing the entire amount, where it was revealed that the construction activities were on halt and the persons available on the site told the complainants that the apartments are likely to be completed till 2015. Even the partial construction done by the opposite parties was defective and did not match the specifications provided in the agreement. The complainants were shocked on hearing it and observing the site. The complainants immediately contacted the Area Manager, who told the complainants that there is some delay in the construction of the apartment and the apartments shall be ready till June, 2010. The complainants have to repay the amount taken on loan alongwith interest without getting the possession of the allotted units causing irreparable loss and injury to them. The complainants have come to know that the opposite parties have invested the funds earmarked for this project into their other projects in other city due to which they have not been able to complete the project in time. Besides this, it has also come to the light that although the opposite parties had collected huge funds from the buyers but in spite of that the opposite parties have miserably failed to pay the dues of Lucknow Development Authority which forced the Lucknow Development Authority to issue coercive measures against the opposite parties for therecovery of their dues. Alleging deficiency on the part of opposite parties/ respondents, complainants filed separate complaints before State Commission. Aggrieved by the order of Hon'ble State Commission, these appeals preferred before Hon'ble National Consumer Disputes Redressal Commission.

Hon'ble NCDRC discussed various case laws and after hearing the parties held, "Learned Counsel for appellants submitted that as complainants have been deprived of possession for a long period beyond agreed period, it amounts to restrictive trade practice under Section 2 (nnn) of Consumer Protection Act and complainants are entitled to get compensation. Section 2 (nnn) runs as under:- means a trade practice which tends to bring about restrictive trade practice manipulation of price or its conditions of delivery or to affect flow of supplies in the market relating to goods or services in such a manner as to impose on the consumers unjustified costs or restrictions and shall include- Delay beyond the period agreed to by a trader in supply of such goods or in providing the services which has led or is likely to lead to rise in the price; Any trade practice which requires a consumer to buy, hire or avail of any goods, or, as the case may be, services as condition precedent to buying, hiring or availing of other goods or services; Perusal of aforesaid provision reveals that when opposite party delays in delivery of goods which leads to rise in the price of goods meaning thereby, more price is charged from complainant, it amounts to restrictive trade practice. In the case in hand, opposite party on account of delayed delivery of possession is not charging higher rate than the agreed rate for delivery of possession of flat, so, it does not fall within the purview of restrictive trade practice under Section 2(nnn) of Consumer Protection Act."

"Admittedly, agreements were executed in 2006 and as per agreements, possession of flats was to be delivered within 42 months, meaning thereby, possession was to be given in the year 2009-2010 and possession has not been handed over so far though year 2016 has started. No doubt, complainants are entitled to get penalty amount for delayed delivery of possession as per clause 10(c) of the agreement but opposite party cannot be permitted to avail benefit of aforesaid clause for indefinite period. This penalty clause should be allowed for the benefit of parties for a limited period and in the cases in hand, I deem it appropriate to extend applicability of aforesaid clause for a period of one year beyond 42 months and after that, complainants are certainly entitled to compensation. Opposite party cannot be allowed to avail huge funds of complainants by paying merely Rs. 5/- per sq. ft. for example, complainants who have purchased flat measuring 164.901 sq. mtr., they have made payment of about Rs. 31.00 to 32 lakhs and in the garb of clause 10 (c), opposite party is paying penalty @ approximately Rs. 9,000/- per month against enjoying funds more than Rs. 30.00 lakhs. As complainants have been deprived to shift to their flats for a long period which would not only have given them satisfaction of living in their own house but also have raised their social status and opposite party has enjoyed funds of complainants for a long period, I deem it appropriate to allow compensation @ Rs. 15,000/- p.m. to the complainants who have applied for flats upto 175 sq. mtr and Rs. 20,000/- per month to complainants who have applied for flats above 175 sq. after 54 months of execution of agreement till delivery of possession."

Against this judgment, parties went to Hon'ble Supreme Court. The judgment of Hon'ble Supreme Court is:-

In Nalin Bhargava vs. Parsvnath Developers Ltd. CA 6662/2018 @ SLP(C) 7596/2016 etc and other related civil appeals on 13 July, 2018, Hon'ble Supreme Court held:-

"Leave granted in all the special leave petitions.CA 6662/2018 @ SLP(C) 7596/2016 etc. It is submitted by Mr. M.L. Lahoty, learned counsel appearing for the appellants in all the appeals that the possession has been handed over and the deficiencies have been removed and, therefore, he has no grievance. However, Mr. Lahoty would insist that there should be imposition of costs as compensation.

Mr. Sachin Datta, learned senior counsel appearing for the developer has raised objections with regard to imposition of costs.

Having heard learned counsel for the parties, we are of the considered opinion that the cause of justice would be best subserved if each of the appellants in the present appeals are given Rs.1,50,000/- (Rupees one lakh fifty thousand only) per flat, towards costs. When we say "cost", we mean costs alone and nothing else."

In the case of Meerut Development Authority Vs. Suresh Chandra Garg, Special Leave to Appeal (C) No(s). 24059/2022, Judgment dated 05.01.2023 Hon'ble Supreme Court has held, "consequently, the present petition is disposed of with a direction, to sum up of the litigation which is pending for a long time. Let the order of the District Consumer Commission 06.09.2019 shall be complied with and the respondent be refunded the entire deposited amount with simple interest at the rate of 12% per annum within a further period of 60 days from today failing which it shall carry interest at the rate of 15% per annum until actual payment."

Therefore it is clear that the amount shall be refunded with simple interest at the rate of 12% within 60 days from the date of judgment otherwise the rate of interest shall be 15% simple interest per annum till the date of actual payment. In this case we take the cut-off date as October 2014 , and the interest shall be computed from November 1, 2014 till the date of actual payment.

These builders are just earning money from the consumers to whom they issued allotment letters and got a huge amount. They keep this amount for a long time and earn interest on it. Property dealing is that part of business where they never pay a penny to the consumers on their amounts deposited for a long-term or if they pay, they pay a meagre interest of about 5% or so but they charge 18 to 24% or more if the consumers default in depositing any instalment. It reminds us the story of "The Merchant of Venice" The Merchant of Venice is the story of a Jewish money lender Shylock who demands that an antisemitic Christian offer "a pound of flesh" as collateral against a loan. These acts of builders also remind us the age of Sahukari during ancient India and also during British Raj. Whether these builders have power to frame their own law? They put their terms and conditions in such a way that the sufferer will always be the consumer. The Consumer Protection Act 1986 has been enacted for the benefits of consumers, so the courts dealing with Consumer Protection Act 1986 should come forward for their rescue. The courts are not governed by the builders but they are governed by the law, Custom and Usages. Now in the background of all the facts and also the facts of the present case, we will also discuss something more.

Now we see the present case. There is no completion certificate. There is no occupancy certificate. Delivery of possession has not been given on the date as promised by the opposite parties. They have become defaulter in and not providing the unit to the complainant within the time mentioned by them in the agreement. The complainant is paying heavy interest rate on the loan amount without his fault. He has been living in a rented house and as per judgement of the Hon'ble NCDRC he is entitled for rental Rs.15,000.00 per month from the cut of date that is 01.01.2017 (actual date is 24.12.2016). He is liable to pay interest on the amount deposited by the complainant from their due date of deposits. As far as delivery of possession is concerned, the possession should have been handed over within three years because in cases where no such date has been mentioned by the builders, Hon'ble Supreme Court has said that the reasonable time to deliver the possession of the flat is three years.

Hon'ble Supreme Court in civil appeal number (S) 3533-3534 of 2017, M/S Fortune infrastructure (NOW known as M/S Hicon Infrastructure) & Anr. Vs. Trevor D'Lima & Ors , Judgment 12.03.2018 has held "Moreover, a person cannot be made to wait indefinitely for the possession of the flats allotted to them and they are entitled to seek the refund of the amount paid by them, along

with compensation. Although we are aware of the fact that when there was no delivery period stipulated in the agreement, a reasonable time has to be taken into consideration. In the facts and circumstances of this case, a time period of 3 years would have been reasonable for completion of the contract i.e., the possession was required to be given by last quarter of 2014. Further there is no dispute as to the fact that until now there is no redevelopment of the property. Hence, in view of the above discussion, which draw us to an irresistible conclusion that there is deficiency of service on the part of the appellants and accordingly the issue is answered. When once this Court comes to the conclusion that, there is deficiency of services, then the question is what compensation the respondents/ complainants is entitled to ?"

So there is no question to extend the period of delivery of possession because Hon'ble Supreme Court has made it clear that the possession should have been handed over within three years. There is no record to show whether the opposite parties have applied and received NOCs Of Fire Department, Civil Aviation Department, Pollution Control Department Et cetera. These NOCs are also necessary in addition to completion certificate and occupancy certificate. The complainant has prayed for the refund of his money as no flat has been given to him in the promised period. Thus from all the facts and circumstances of the case we come to the conclusion that the complainant is entitled for the following reliefs are from the opposite parties.

The complainant is entitled to get refund of Rs.5,275,663/- with interest @ of 12% from the date of respective deposit if paid within 60 days from the date of judgement of this complaint case otherwise the rate of interest shall be 15% from the respective dates till the date of actual payment.

The complainant is entitled to get Rs.10 lakhs from the opposite parties for the mental agony and financial loss suffered by him with interest @ of 12% from 01.01.2017 if paid within 60 days from the date of judgment of this complaint case otherwise the rate of interest shall be 15% from the respective dates till the date of actual payment.

The complainant is entitled to get Rs.20 lakhs from the opposite parties towards payment of loan to the concerned bank without interest if paid within 60 days from the date of judgment of this complaint case otherwise the complainant will be entitled to interest at a rate of 15% from 01.01.2017 till the date of actual payment.

The complainant are entitled to a rent of Rs.15,000.00 per month from 01.01.2017 with interest at a rate of 12% if paid within 60 days from the date of judgment of this complaint case otherwise the rate of interest shall be 15% from 01.01.2017 till the date of actual payment.

The complainant is entitled to Rs.10 lakhs and a common of damage due to deficiency in service and cost of the case with interest @ of 12% from 01.01.2017 if paid within 60 days from the date of judgment of this complaint case otherwise the rate of interest shall be 15% from the respective dates till the date of actual payment.

The complainant has prayed for passing any other order or direction which this Hon'ble commission may deem just, fit and proper under the circumstances of the case. In this belief (x) the complainant is entitled to Rs.20 lakhs from the opposite parties towards unfair trade practice, mental agony, torture, depression, harassment et cetera et cetera with interest @ of 12% from 01.01.2017 if paid within 60 days from the date of judgment of this complaint case otherwise the rate of interest shall be 15% from 01.01.2017 till the date of actual payment.

The complaint case is decided accordingly.

ORDER 1- The opposite parties, jointly and severally, are directed to pay/refund the complainant Rs.5,275,663/- with interest @ of 12% from the date of respective deposits if paid within 60 days from the date of judgment of this complaint case otherwise the rate of interest shall be 15% from the respective dates till the date of actual payment.

2- The opposite parties are jointly and severally, directed to pay Rs.10 lakhs to the complainant for the mental agony and financial loss suffered by him with interest @ of 12% from 01.01.2017 if paid within 60 days from the date of judgment of this complaint case otherwise the rate of interest shall be 15% from the respective dates till the date of actual payment.

3- The opposite parties are jointly and severally, directed to pay Rs.20 lakhs to the complainant towards payment of loan of the concerned bank without interest if paid within 60 days from the date of judgment of this complaint case otherwise the rate of interest shall be 15% from 01.01.2017 till the date of actual payment.

4- The opposite parties are, jointly and severally, directed to pay to the complainant Rs.15,000.00 per month from 01.01.2017 with interest at a rate of 12% if paid within 60 days from the date of judgment of this complaint case otherwise the rate of interest shall be 15% from 01.01.2017 till the date of actual payment.

5- The opposite parties are, jointly and severally, directed to pay Rs.10 lakhs to the complainant towards damages due to deficiency in service and cost of the case with interest @ of 12% from 01.01.2017 if paid within 60 days from the date of judgment of this complaint case otherwise the rate of interest shall be 15% from the respective dates till the date of actual payment.

6- The opposite parties are, jointly and severally, directed to pay to the complainant Rs.20 lakhs towards unfair trade practice, mental agony, torture, depression, harassment et cetera et cetera with interest @ of 12% from 01.01.2017 if paid within 60 days from the date of judgment of this complaint case otherwise the rate of interest shall be 15% from 01.01.2017 till the date of actual payment.

If the said amount has not been paid within 60 days from the date of judgment of this complaint case, the complainant shall be free to file execution case at the cost of the opposite parties.

The stenographer is requested to upload this order on the Website of this Commission today itself.

Certified copy of this judgment be provided to the parties as per rules.

(Justice Ashok Kumar)

(Rajendra Singh)

President

Member

Judgment dated/typed signed by us and pronounced in the open court.

Consign to the Record-room.

(Justice Ashok Kumar)

(Rajendra Singh)

President

Member

Dated 10.5.2023

JafRi, PA I

C-2

[HON'BLE MR. JUSTICE ASHOK KUMAR] PRESIDENT
[HON'BLE MR. Rajendra Singh] JUDICIAL MEMBER